

INTERNATIONAL RELATIONS



INDIA-CHINA RELATIONS - 3

MODULE - 14

INDIA -CHINA

- Not with standing the friction in the relationship, there are several areas in which the neighbours have cooperated to ensure a strong bilateral relationship and peace in the Asian neighbourhood.
- These can be categorized into:
 1. POLITICAL
 2. ECONOMIC
 3. MILITARY
 4. REGIONAL COOPERATION
 5. CLIMATE CHANGE
 6. SPACE TECHNOLOGY
 7. CULTURAL LINKS
 8. EDUCATIONAL EXCHANGES



POLITICAL

INFORMAL SUMMIT

- 1 Informal Summits act as **supplementary exchanges** to annual Summits such as the G20 Summit and the BRICS Summit.
- 2 They allow **discussion on wide-ranging issues** and are considered to play bigger roles in diplomatic dialogue than formal exchange.
- 3 Informal Summits take place when a need for them is perceived by the concerned nations.

WUHAN SUMMIT

- After the Doklam standoff, the first Informal Summit took place on 27 and 28 April 2018 between Indian Prime Minister Modi and China's President Xi.



POLITICAL

OBJECTIVES OF WUHAN SUMMIT

- 1 Exchange views on issues of bilateral and global importance
- 2 Explain their visions and priorities for national development in the future international situation
- 3 Discuss issues including the India-China boundary question, bilateral trade and investment, terrorism, economic development and global peace
- 4 Discuss future areas of cooperation between the two countries.



POLITICAL

ACHIEVEMENTS OF WUHAN SUMMIT

The Wuhan Summit “re-set” the India-China relationship after the two-month long border standoff at Doklam.

The countries

- 1 Reiterated the importance of building an open, multipolar, pluralist and participatory global economic order.
- 2 decided to have a closer partnership in a mutually beneficial and sustainable manner.
- 3 understood the importance of maintaining peace and tranquility in the border. For this, they directed their militaries to develop confidence-building measures and share information to prevent incidents across the border.
- 4 pushed for bilateral trade and investment and discussed greater cultural and people to-people contacts.



2nd INDIA - CHINA POLITICAL MAHALLAPURAM SUMMIT CHENNAI, OCTOBER 11th-12th, 2019

ii 2ND INFORMAL SUMMIT

- The Chinese President Xi Jinping visited Mahamallapuram, Chennai, from October 11-12, 2019 for the 2nd Informal Summit.
- The Summit aimed to **deepen dialogue and promote mutual understanding** at the Leaders' level in line with the 'Wuhan Spirit' and the 'Chennai Connect

IMPORTANCE OF THE VENUE

The choice of Mahamallapuram as the venue of the Summit was for two reasons-

- President Xi **interest in history and culture** and the region's ancient connection with China
- The **domestic political consideration.**

POLITICAL

RELATIONS BETWEEN MAMALLAPURAM AND CHINA

- 1 Mamallapuram, or Mahabalipuram, is a historical city dating back to 1,200-1,300 years. It was an integral part of ancient China's Silk Route.
- 2 Tamil prince called Bodhidharma travelled to China as a messenger of Buddhism and began Chan (from the Sanskrit word dhyana) Buddhism.
- 3 Later, he started imparting physical training to monks of Shaolin temple and gathered a huge following.
- 4 Tamil language also connected India and China and erstwhile Tamil kings had taken efforts to spread Tamil in China.



ACHIEVEMENTS OF SUMMIT

1 BORDER QUESTION

- The leaders exchanged views on outstanding issues, including on the boundary question.
- The Special Representatives to continue their efforts to arrive at a mutually-agreed framework based on Political Parameters and Guiding Principles agreed in 2005.

2 TRADE

- They agreed to establish a High-Level Economic and Trade Dialogue mechanism to enhance trade and commercial relations.

ACHIEVEMENTS OF SUMMIT

3 CULTURAL

1 They exchanged views on the age-old commercial linkages and people-to-people contacts between India and China, including significant maritime contacts.

2 In this regard they agreed on establishment of sister-state relations between Tamil Nadu and Fujian Province, establishing an academy to study links between Mahabalipuram and Fujian province and conducting research on maritime links between China and India.

3 They decided to designate 2020 as Year of India-China Cultural and People to People Exchanges and agreed to deepen exchanges at all levels including between their respective legislatures, political parties, cultural and youth organizations and militaries at the 70th anniversary of the establishment of India-China relations in 2020

4 Prime Minister Modi has accepted President Xi's invitation for the 3rd Informal Summit to China.

ECONOMIC

i 6TH INDIA-CHINA STRATEGIC ECONOMIC DIALOGUE

- 1 The China-India Strategic Economic Dialogue Mechanism was established in December 2010, as an important platform for the two countries to exchange macroeconomic policies and promote pragmatic cooperation.
- 2 India hosted the 6th India-China Strategic Economic Dialogue from September 7-9 to focus on collaboration between two countries on areas of infrastructure, energy, high-tech, resource conservation, pharmaceuticals and policy coordination.
- 3 They exchanged views on regulatory procedures of ease of doing business, development of artificial intelligence, high-tech manufacturing, and next-generation mobile communications of both countries.



ECONOMIC

i 6TH INDIA-CHINA STRATEGIC ECONOMIC DIALOGUE

- 4 They resolved to work on Renewable Energy space, Clean coal technology sector, Smart Grid & Grid integration and Smart meters & E-mobility sectors.
- 5 The two countries noted the significant progress made in the feasibility study on Chennai-Bangalore-Mysore railway upgradation project and personal training of Indian senior railway management staff in China.



ECONOMIC

ii INDIA IN THE US-CHINA TRADE WAR

- 1 In the early 2018, US and China raised tariffs on each other's goods and it continued till June 2019.
- 2 US President imposed heavy tariffs on imported steel and aluminium items.
- 3 China responded by raising the tariffs on several US products.
- 4 India was not exposed to global trade as compared to regional economies particularly Taiwan, South Korea and Vietnam.
- 5 As a fallout of the war, India gained about \$755 million additional exports, mainly of chemicals, metals and ore, electrical machinery, agri-food, furniture, office machinery, precision instruments, textiles and apparel and transport equipment



ECONOMIC

iii TRADE RELATIONS

India and China trade relations are an important part of bilateral relations.

- 1 1984- India and China signed a trade agreement which provided for “Most Favored Nation treatment”
- 2 1994- the countries signed an agreement to avoid double taxation.
- 3 2006- Trade relations between India and China were revived with the initiation of border trade between India, China and Tibet.

- 4 2014- China announced an investment of \$20 billion USD in India for industrial parks in Gujarat, Haryana and Maharashtra to scale up India's manufacturing capabilities and assist India in reducing its trade deficit with China.



ECONOMIC

iii TRADE RELATIONS

- 5 2018- India and China held the 11th session of the India-China Joint Group on Economic Relations, Trade, Science and Technology, and the two countries explored ways to enhance development of bilateral trade and investment cooperation.
- 6 2018- India and China revived the Double Taxation Avoidance Agreement (DTAA) signed in 1994.
- 7 Chinese companies including Alibaba, Fosun, Baidu and Tencent have increased investment in Indian start-ups, especially in areas of technology and e-commerce.



ECONOMIC

ITEMS OF TRADE

- 1 The principal items of Indian exports to China include iron and steel, slag and ash, plastics, organic chemicals and cotton.
- 2 The main items of Chinese exports to India include electrical machinery and equipment, cement, organic chemicals, nuclear reactors, silk, minerals fuels and oils.
- 3 There is immense potential for enhancement of trade between India and China by including products like oil seeds, salt, inorganic chemicals, dairy products and medical equipment.
- 4 Special emphasis should also be laid on investments and trade in services and knowledge-based sectors.



MILITARY

- 1 Military cooperation between India and China is based on the understanding of collective security.
- 2 Defence cooperation and military engagement are not only mutually important but essential for bringing peace, stability and prosperity in South Asia.
- 3 Some of the successes in military cooperation are:



MILITARY

i

AGREEMENT ON MAINTENANCE OF PEACE AND TRANQUILITY, 1993

- 1 PM Rajiv Gandhi's visit to China in 1988 led to the countries cooperating in developing academic, military, scientific and technological exchanges.
- 2 The Chinese military leadership emphasized the importance of forced reduction in the border region.
- 3 This visit materialized into the signing of the Agreement on the Maintenance of Peace and Tranquillity along the Line of Actual Control (LAC) in the India-China Border area in 1993 during the visit PM Rao to China.



MILITARY

ii

CONFIDENCE BUILDING MEASURES, 1996

1 During visit of president Ziyang Zemin to India, the Agreement on Confidence Building Measures in the military field along LAC came into place to reiterate and re-affirm the intent and spirit of 1993.

2 It included exchanging data on the military forces and armaments to be reduced or limited and decide on ceilings on military forces and armaments to be kept by each side.

3 Also measures were to be taken to ensure that air intrusions across the line of actual control do not take place.



MILITARY

iii PROTOCOLS ON CBMS, 2005

- During the visit of Premier Wen Jiabao in April 2005, the protocol on modalities for implementation of Confidence Building Measures in the military field along the LAC was signed in April 2005.
- It further elucidated provisions of 1996 CBMs.

iv MOU, 2006

- Indian Defence Minister Pranab Mukherjee visited China in May 2006 and it led to the signing of the Memorandum of Understanding (MOU).
- It included
 1. establishment of a mechanism to ensure frequent and regular exchanges between leaders and officials
 2. holding regular joint military exercises and training programmes



MILITARY

v

HAND-IN-HAND, 2008

- 1 A week long China-India joint anti-terrorists training started in 6 December 2008 in Belgaum in Karnataka with performance of the Chinese Tai Chi and Indian martial arts.
- 2 A joint training was aimed at promoting the two army's mutual understanding and trust.
- 3 Chinese soldiers performed tai chi and anti-terror shooting skills, while their Indian counterparts put on display the country traditional martial arts.



REGIONAL COOPERATION

i

BRICS

- Both India and China are members of BRICS and have established the New Development Bank.

ii

AIIB

- India is also the founding members of Asian Infrastructure Investment Bank (AIIB).
- AIIB seeks to emulate financial institutions like World Bank and IMF and create alternate institutions of lending and borrowing for the world.

iii

SCO

- India's inclusion in the Shanghai Cooperation Organization(SCO) demonstrates China's acceptance for India to engage on a world platform.
- India and China are discussing connectivity projects within SCO that will pass through Iran, Afghanistan and Pakistan.



REGIONAL COOPERATION

iv INSTC

- Both countries intend to cooperate on connectivity projects like the International North South Transport Corridor (INSTC).
- They inaugurated the first ever India-China training program for Afghan diplomats.
- Both countries support development of Afghanistan and oppose terrorism in all forms.

v WTO

- They have cooperated in WTO Doha round of negotiations, energy and food security, reform of international financial and monetary institutions and global governance.

vi UN, RIC

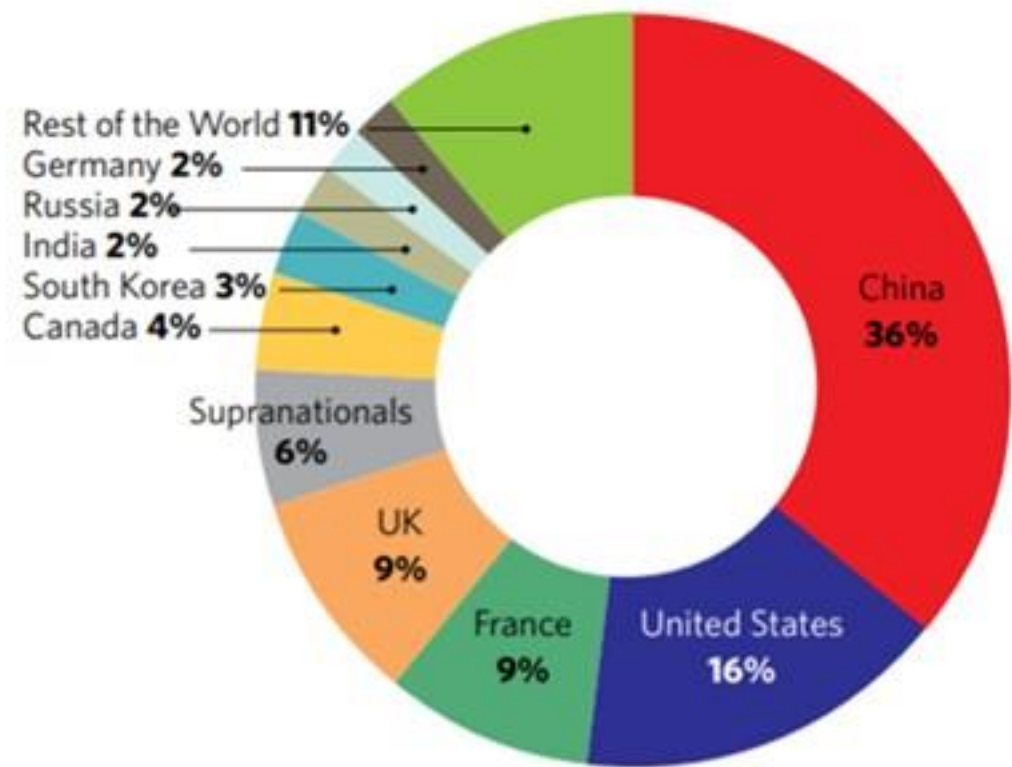
- Premier Li Keqiang stated that India and China have maintained communication and coordination on international affairs and enhanced collaboration in the UN, BRICS, G-20, Russia India-China(RIC) and other mechanisms.



CLIMATE CHANGE

- 1** India and China have signed a pact to coordinate their approach to climatic negotiations and some domestic policies.
- 2** They signed a MOU on climate change and agreed to form a joint working group which will meet once a year to coordinate policies.
- 3** They also agreed to cooperate on renewable energy and research into the effects of climate change on Himalayan glaciers.

Top 10 countries for climate-aligned bonds



CLIMATE CHANGE

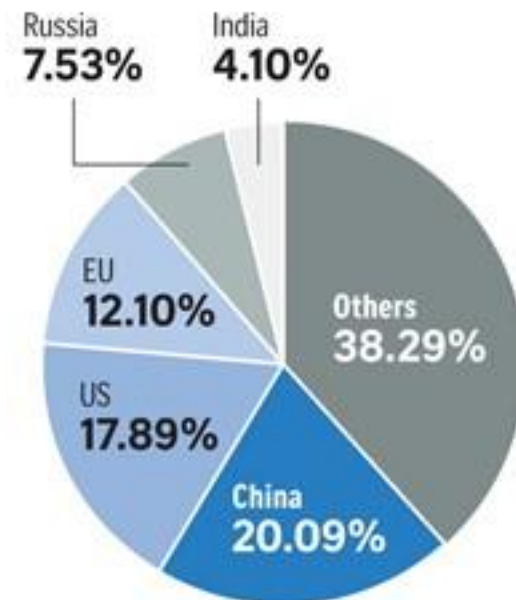
4 Both India and China have argued that they should not be obliged to set internationally binding targets for reducing greenhouse gases because richer nations have a greater historical responsibility for the carbon dioxide in the atmosphere.

5 The Copenhagen summit encourages nations to make verifiable commitments to tackle climate change along with helping economies to develop.

6 The two nations face common challenges in ensuring energy security and reducing poverty.

Biggest emitters

Share of global greenhouse gas discharges



SPACE TECHNOLOGY

- 1 In the Indo-Pacific region, there are two major regional space cooperation initiatives by Japan and China.
- 2 Most South Asian countries are members of the Asia-Pacific Regional Space Agency Forum (APRSAF) that is governed by Japan.
- 3 The Asia-Pacific Space Cooperation Organisation (APSCO) is a Chinese initiative. Pakistan and Bangladesh are members of both organisation.
- 4 Regional powers can join hands in providing sounding rockets, and weather satellites.
- 5 Areas such as disasters warning, and mitigation are ideal areas for cooperation with the South and Southeast Asian regions.



SPACE TECHNOLOGY

6 Strengthening cooperation in Space Situational Awareness (SSA) and enhancing SSA coverage in the southern hemisphere can be an important aspect of cooperation

7 India and China were cooperating on the proposed “BRICS Constellation of satellites”.

8 Despite India's competitive space program, including its successful Mars orbiter project, China is considered to have a more advance program with its six manned space missions. But there are challenges to this proposal.

9 There is lack of rules and regulations for outer space. Treaties such as Outer Space Treaty (OST) are increasingly inadequate to deal with the rapidly developing outer space.



BRICS Constellation of satellites

CULTURAL LINKS

i

BUDDHISM

- 1 Buddhism is greatest thread joining the ancient civilizations. During first, second and third centuries A.D. several Buddhist pilgrims and scholars travelled to China on the historic “silk route”.
- 2 Chinese pilgrims Fa Xian and Xuan Zang undertook journeys to India during the ancient period.
- 3 Indian President Pratibha Patil gifted a Buddhist temple to China in Luoyang in 2010.



CULTURAL LINKS

ii INDIA'S SOFT POWER

- 1 Indian Bollywood movies were popular in China in the 1960s and 1970s and the popularity is being rekindled in recent times again.
- 2 Yoga is becoming increasingly popular in China. China was one of the co-sponsors to the UN resolution designating June 21 as the International Day of Yoga.
- 3 To promote Indian art and culture, the Swami Vivekananda Cultural Centre in Beijing runs music, dance and yoga classes and regularly organizes a variety of cultural activities



EDUCATIONAL EXCHANGES

- 1** India and China signed an Education Exchange Programme (EEP) in 2006, which is an umbrella agreement for educational cooperation between the two countries.
- 2** Under this agreement, government scholarships are awarded to 25 students, by both sides, in recognized institutions of higher learning in each other's country.
- 3** These resulted in an increase in the number of Indian students in China.
- 4** During the academic year 2016-17 there were 18,171 Indian students studying in various universities across China in various disciplines



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